Restructuring, Part-Payment and Settlement Policy

In short. If you cannot pay your full EMI, three options are pre-approved by our Credit Committee: (1) pay at least **70% of one EMI** for the current cycle; (2) **extend the tenure by 1 to 3 months**, which spreads what you still owe over more months and lowers the EMI; (3) a **one-time settlement** that closes the loan for one payment of the remaining balance **less 5%**. Our assistant can work out the exact figures from your account and send your choice for approval, but only a person on our team approves a restructuring. None of these options is offered automatically while a dispute is open on the loan or after 2 broken promises to pay: a person reviews those loans.

1. Principles

- Every figure quoted to you is calculated from your own account at the time you ask, never estimated.
- A quote is not an approval. Nothing on your loan changes until a person on our team approves it, and you are told the decision, with the reason if it is declined.
- Restructuring does not erase history. Late payments and broken promises before a restructuring stay on your record.
- Asking about options never counts against you and is never treated as a promise.

2. Who is eligible for an automated quote

Our assistant can quote and send for approval any of the options below unless one of these applies to the loan, in which case the request goes straight to a person:

Block	Reason
A dispute or a payment claim is open on the loan	The amount owed is itself in question until a person has reviewed it.
2 or more promises to pay have been broken	A pattern of missed commitments needs a conversation with a person before a new arrangement.

A loan 14 or more days overdue can still receive a quote; it will already be with a person on our team, who sees the request alongside the account.

3. Option 1 – part-payment for one cycle

You may agree to pay part of the current EMI now. The minimum is **70% of the EMI amount**. For an EMI of ₹16,000 that is ₹11,200; an offer of ₹11,200 or more is within policy, an offer below it is not and can only be considered by a person.

- The part-payment is credited to the current EMI; the balance stays due. The EMI counts as paid when the full amount is received.
- The late payment charge (policy BFF-POL-02) still applies if the full EMI is not received within the grace period.
- This option covers one cycle. Needing it in two consecutive cycles is a sign that a tenure extension may suit you better.

4. Option 2 – tenure extension

The remaining tenure can be extended by **1, 2 or 3 months**. The remaining balance – the total of the EMIs still to be paid – is spread evenly over the new number of months, so the EMI goes down. **No extra interest is charged for the extension.**

Example	EMIs left	EMI	Remaining balance	New EMI
No extension	12	₹16,000	₹1,92,000	–
Extend by 1 month	13	–	₹1,92,000	₹14,769.23
Extend by 2 months	14	–	₹1,92,000	₹13,714.29
Extend by 3 months	15	–	₹1,92,000	₹12,800.00

4.1 How to ask

1. Ask our assistant for more time on your EMI. It works out the new EMI for the extension you want from your account.
2. If you agree to a specific extension, it sends that exact proposal to our team for approval. Your loan does not change yet.
3. A person on our team approves or declines it. On approval, your EMI and the number of EMIs left change to the approved figures, and you are told the new figures. On decline, you are told why.

An extension longer than 3 months, or a second extension on the same loan, is outside this policy and is considered by the Credit Committee case by case.

5. Option 3 – one-time settlement

A one-time settlement closes the loan for a single payment of the **remaining balance less a 5% discount**. For a remaining balance of ₹1,92,000 (12 EMIs of ₹16,000), the settlement amount is ₹1,82,400.

- It is full and final: once the settlement amount is received, the loan is closed and a closure certificate can be issued (policy BFF-POL-07).
- It must be paid in one payment. A settlement paid in instalments is not this option; it would be a promise to pay or a tenure extension.
- Late payment charges still owed are payable in addition to the settlement amount unless our team waives them.
- A settlement is approved by a person on our team before it is paid. The approved amount is then valid for the date agreed with you.

6. What the assistant will and will not say

The assistant states a restructured EMI or a settlement amount only from a calculation on your account made in the same conversation. It does not round figures to make them sound better, it does not say that a request "will be approved", and it does not offer a discount, a waiver or a rate change outside this policy. If you ask for something outside these options, the request is sent to a person with your own words.